**IN THE NATIONAL COMPANY LAW TRIBUNAL**
**BENGALURU BENCH**

**CA(CAA)NO.15/BB/18**
**Under Section 230 to 232 of Companies Act, 2013**

**IN THE MATTER OF SCHEME OF ARRANGEMENT**
**IN THE MATTER OF**
**QUADGEN NETWORKS PRIVATE LIMITED**
**AND**
**QUADGEN WIRELESS ENGINEERING SERVICES PRIVATE LIMITED**
**WITH**
**QUADGEN WIRELESS SOLUTIONS PRIVATE LIMITED**

**Order delivered on: 24th April, 2018**

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Uday Shankar & Associates
Advocates
Fortune Chambers, 1st Floor, No.8,
Lalbagh road, Richmond Circle,
Bangalore-560027

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 9.4.2018

**Quadgen Wireless Solutions Private Limited**
#607, World Trade Centre, Brigade Gateway
26/1, Dr.Rajkumar Road, Malleshwaram West,
Bangalore-560055

**ORDER**

This Application is filed on behalf of the Applicant Company under Section 230 and 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangement and Amalgamation)Rules,2016, praying to order to dispense with convening of meeting of Shareholders and Creditors of Applicant Company for considering the Scheme of Arrangement, where under Quadgen Networks Private Limited (Transferor Company No.1) and Quadgen Wireless Solutions Private Limited (Transferor Company No.2) to be merged with Quadgen Wireless Solutions Private Limited (Applicant Company/Transferee Company). The Scheme of Arrangement shown as **Annexure-A.**

The averments made in the Company Application are briefly described hereunder:-

The Applicant seeks an order to dispense with the convening of meeting of Shareholders and Creditors of the Applicant Company for approving the Scheme of Arrangement of Quadgen Networks Private Limited (Transferor Company No.1) and Quadgen Wireless Engineering Services Private Limited (Transferor Company No.2) with Quadgen Wireless Solutions Private Limited (Applicant Company/Transferee Company) in terms of Scheme of Arrangement shown as **Annexure-A.**

Application is filed by the applicant company stating that Applicant Company was incorporated on 11th December, 2007 as per the provisions of the Companies Act, 1956 in the name and style of QuadGen Wireless Solutions Private Limited with Registrar of Companies, Karnataka having CIN no.U32201KA2007PTC044638.The Registered office of the Applicant Company is situated at #607, World Trade Centre, Brigade Gateway 26/1, Dr. Rajkumar Road, Malleshwaram West, Bangalore-560055.

The main objects of the Applicant Company is to carry on the business of providing wireless engineering services, in India and abroad, with major Operator's network with an approach of Network Services Delivery such as Wireless Network design Services, wireless Network Optimization Services, Wireless Network Audit services, Wireless Network Performance Improvement Services, Wireless Network Consulting Services and offer network services for Media Flo and DVB-H based technologies for telecoms. The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-B series.**

The latest authorized share capital of Applicant Company is Rs.8,36,00,000/- divided into 83,60,000 Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.8,32,99,600/- divided into 10,69,960 Equity Shares of Rs.10/-each and 72,60,000 Series A Cumulative, Compulsorily and fully convertible preference shares of Rs.10 each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure –C.**

It is further stated that, the Board of Directors of the Applicant Company has approved and adopted a Scheme of Arrangement at its meetings held on 2nd March, 2018 by virtue of which Quadgen Networks Private Limited (Transferor Company No.1) and Quadgen Wireless Engineering Services Private Limited (Transferor Company No.2) to be merged with Quadgen Wireless Solutions Private Limited (Applicant Company/Transferee Company) subject to confirmation. A copy of the Board Resolution of the Applicant

Company dated 2nd March, 2018 approving and adopting the scheme of Arrangement is shown as **Annexure-E.**

It is further averred in the scheme that the arrangement of both the Transferor Companies with Transferee Company would inter alia have the following benefits:

1. To Achieve greater integration, financial strength and flexibility leading to stronger negotiation power in the market. Leverage consolidated asset base, revenues and market share of the combined entity to build a stronger and sustainable platform for further growth and expansion of the combined entity.

2. To Achieve greater efficiency in the cash management of the combined entity, and unfettered access to cash flow generated by the combined entity for the group.

It is further stated that the Chartered Accountant after verification of the books of accounts and other records and documents of the Applicant Company has certified the number of shareholders of the Applicant Company as on 22nd January, 2018.There are three Equity shareholders and one preference shareholder. Certificate issued by the Chartered Accountant shown as **Annexure-F.**

It is further stated that there is only one Secured Creditor in the Applicant Company as on 22nd January, 2018 as certified by the Chartered Accountant shown as **Annexure-J.**

It is further stated that the only one Secured Creditor i.e., HDFC Bank Limited has repaid the car loan aggregating to 17,86,806/- as on 20th March, 2018 as certified by Chartered Accountant shown as **Annexure-K.**

It is further stated that there are no Unsecured Creditors in the Applicant Company as on 22nd January, 2018 as certified by the Chartered Accountant shown as **Annexure-L.**

We have seen the consent affidavits filed by the three Equity shareholders of Applicant Company /Transferee Company i.e., (i) Chundru Sambasiva Rao, holding 5,000 equity shares,(ii) Srikalahasti Mallikarjunarao Vagvala holding 5000 equity shares, l, (iii) QuadGen Wireless Solutions Inc USA holding.

We have seen the consent affidavits filed by the one Preference shareholders of Applicant Company /Transferee Company i.e., (i) QuadGen Networks Private Limited, holding 72,60,000 preference shares.

It is stated that, the value of amounts due to unsecured creditors of the Applicant Company is Rs.11,24,57,741/- and 100% of the unsecured creditors representing value of Rs. 11,24,57,741/- have given their consent to the Scheme by way of affidavits. We have seen the consent affidavits given by the Unsecured Creditors shown as **Annexure-M.**

The Applicant Company is seeking an order to dispense with convening of meetings of Shareholders and Creditors of the Applicant Company on the ground that, there are three equity shareholders, one preference shareholder, No Secured Creditors and two Unsecured Creditors. Three Equity Shareholders, One Preference Shareholder and two Unsecured Creditors have given their consent by way of affidavits for the proposed scheme of arrangement.

We have heard the Counsel appearing for the Application is filed by the Applicant Company which is a Transferee Company for dispensing with the convening of meeting of Shareholders and Creditors of the Applicant Company for approving the Scheme of Arrangement of Quadgen Networks Private Limited (Transferor Company No.1) and Quadgen Wireless Engineering Services Private Limited (Transferor Company No.2) with Quadgen Wireless Solutions Private Limited (Applicant Company/Transferee Company) in terms of Scheme of Arrangement shown as **Annexure-A.**

In the result, the application is allowed and holding of meeting of the Shareholders and Creditors is dispensed with. In any eventuality when the Applicant Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who are interested in the Scheme of Arrangement to put forth their contentions before the Tribunal.

24/4/18

**ASHOK KUMAR MISHRA**
**MEMBER, TECHNICAL**

**RAJESWARA RAO VITTANALA**
**MEMBER, JUDICIAL**

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# NATIONAL COMPANY LAW TRIBUNAL
## BENGALURU BENCH
## COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 24.04.2018.

PRESENT: 1. Hon'ble member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble member (T) **Dr. Ashok Kumar Mishra,**

| CP/CA No | Purpose | Section | Name of Petitioner | Petitioner Advocate | Name of Respondent | Respondent Advocate |
|---|---|---|---|---|---|---|
| CA(CAA)No.15/BB /2018 | For consideration | 230-232 | M/s Quadgen Wireless Solutions Pvt Ltd | Uday Shankar Associates | | |

| SL. NO. | NAME (IN CAPITAL) & PHONE NUMBER | REPRESENTATION TO WHOM | SIGNATURE |
|---|---|---|---|
| 1. | Uday Shankar Associates<br>Uday Shankar | petitioners | |

**ORDER**

C.A is disposed off vide separate order.

**Member (T)** **Member (J)**